

CFO, FPA, Management Reporting & D365 F&O

PAIN of CFO & FPA:

The controller's administration of the accounting practices may be evaluated, but the ultimate judgment will be based on the quality and presentation of the financial statements produced by the accounting staff.

Therefore, the CFO may require various and flexible reporting formats to provide more comprehensive information to the end users. Create financial statement layouts that are clear and understandable, effectively presenting the financial results, financial position, and cash flows of the business.

Both the CFO and FP&A team focus on providing accurate, timely, and relevant financial information that supports strategic decision-making and ensures regulatory compliance. The FP&A team supports the CFO and other executives in making informed business decisions through financial planning, forecasting, and analysis.

FPA team is more concerned about the Forecast, Budgeting and preparing management reports performing ratios analysis and variance analysis.

To perform all these actions FPA team require some tools to prepare report formats, Calculations, Budgeting analysis and calculation of Financial Ratios.

Management Reporting and D365

This is the first blog where we will discuss special capabilities of D365 only in terms of Management reporting and FPA tools.

I have worked closely with the Top management as well as well as FPA analyst, most of the times we are familiar with excel to prepare the reports in standard formats. No doubts excel is a good tool to start with the reporting and dashboard but once we need reports frequently and with accuracy handling big data is a challenge. Let's assume

🚦 CFO calls me and says hi salman, I need different formats for Income statement such as,

1. **The Single-Step Income Statement**
2. **The Multi-Step Income Statement**
3. **The Contribution Margin Income Statement**
4. **MR Income statement for multiple periods**
5. **Comparison with budget**

also, I would like to have comparison of budgeted amounts with the income statements.

🚦 Salman using D365 and excel okay Boss it will take 2 to 3 days to prepare all these formats.

🚦 CFO 😞 No salman I need it by the end of tomorrow.

🚦 Salman okay boss let me check and get back to you.

🚦 Salman calls his D365 Consultant friend & asks for suggestion if there is a way to prepare reports with desired formats from d365 F&O.

- Salman hi buddy can you help me out in this business requirement, Consultant yes you can use the management reporter and prepare all those reports as per the requirements.
- Salman can you please guide me a little bit, consultant sure.
- Teams meeting invite sent
- 2:00 hours later.
- Salman thank you mate i really appreciate your help, consultant no worries.
- Salman calls back to CFO and explain all the process and how they can extract and prepare reports in management reporter.

Business Value:

Management reporter in D365 F&O is an excellent tool for FPA team to prepare management reports.

Either it's simple reports, complex ratios calculations or consolidations just you need to understand the structure and requirement, with the help of MR we can perform reporting at very granular and dimensional level.

See an example of Income statement is prepared with the help of Management reporter.

Description	June	2024
	Actual CM	Actual YTD
Revenue:		
- Service		
	1,179,882.48	18,194,713.41
	2,062.50	842,222.83
Total Revenue	3,849,080.53	28,170,768.59
Cost of Sales:		
- Direct Material Cost	(1,057,250.02)	(14,080,136.42)
- Direct Labour Cost	(680,170.33)	(3,974,716.41)
- Factory Overheads	(1,223,535.47)	(6,171,321.56)
Total Cost of Sales	(2,960,955.82)	(24,226,174.39)
Gross Profit	888,124.71	3,944,594.20
Selling and Admin Expense:		
Selling Expenses	(217,294.54)	(1,656,417.57)
Administrative Expenses	(697,994.39)	(4,433,564.40)
Total Selling and Admin Expenses	(915,288.93)	(6,089,981.97)
Other (expenses)/income - net	(1,601.08)	(24,161.75)
EBITDA	(28,765.30)	(2,169,549.52)
Depreciation	(230,917.00)	(1,380,671.00)
Amortization		
EBIT	(259,682.30)	(3,550,220.52)
Finance Charges	(188,952.10)	(1,222,448.82)
Zakat / Taxation		
Net Profit / (Loss)	(448,634.40)	(4,772,669.34)

Quick Ratios Calculations

Ratios - Default

Report Date: 6/30/2023

Contoso Entertainment System USA

	2023	2022	Variance
Efficiency Ratios			
Collection Period Ratio (Days)	152	186	34
Sales to Inventory Ratio	0	0	0
Assets to Sales Ratio	100.0%	100.0%	0.0%
Sales to Net Working Capital Ratio	(33.5%)	(34.5%)	(1.0%)
Accounts Payable to Sales Ratio	(66.5%)	(65.5%)	1.0%

Ratios - Default

Contoso Entertainment System USA

Report Date: 6/30/2023

	2023	2022	Variance
Solvency Ratios			
Quick Ratio	1	1	0
Current Ratio	1	1	0
Current Liabilities to Net Worth Ratio	(201.5%)	(211.0%)	(9.5%)
Total Liabilities to Net Worth Ratio	(201.5%)	(211.0%)	(9.5%)
Fixed Assets to Net Worth	0.0%	0.0%	0.0%

That's it for today.

We will try to learn end to end process 😊 to develop reports...